CONTRACT AGREEMENT

This agreement was made on June 10th, 2024 between M/s Bhutan Postal Corporation Limited and Ngawang Builders, Samdrup Jongkhar.

M/s **Bhutan Postal Corporation Limited,** Samdrup Jongkhar a corporation incorporated under the laws of Bhutan and having its principal place of business at Samdrup Jongkhar (hereinafter called "the Client"

And **Ngawang Builders,** Samdrup Jongkhar, registered private company incorporated under the laws of Bhutan and having its principal of business at Samdrup Jongkhar (hereinafter called "the Contractor")

Whereas the quotation invited through Limited Enquiry method for resurfacing of vehicle parking at Samdrup Jongkhar GPO at the bid price details as attached:

1. Work awarded based on the overall BoQ:

1.1 Dismantling and maintaining drainage in front of the building attached to parking.

1.2 Resurfacing of vehicle parking.

1.3 Rate validity will be until the project completion from the contract's signing date.

2. Materials

2.1 The client will arrange the materials readily available at the site, the contractor will execute the works as per the BoQ.

3. Site:

3.1 The worksite is located at the Samdrup Jongkhar GPO Building, Bhutan Post Office, Samdrup Jongkhar.

4. Contract period:

4.1 The work shall start effective from June 10, 2024

4.2 The project will be completed within 1 (One) month from the date of agreement.

4.3 The hindrance due to unavailability of material at the site shall be accounted for and applied for a contract extension.

5. **Defect Liability Period**

5.1 The defect liability period shall be 1 (One) year from the day of handing-taking. Should there be any defect caused due to inferior quality of the workmanship, the contractor will repair without any cost implication to the client.

5.2 Defect Liability Period shall be 1 year from the successful work completion and handing taking of work from the Contactor.

6. Liquidated damages:

6.1 The 10 % liquidity damage shall be applied for not executing the works on time.

The liquidated damage will be max of 10% of the contract amount and shall be calculated at the ratio of 0.10% for every day of delay.

The contractor shall also be liable for penalties as per laws in the country, such as "Consumer Protection Act" if the work was not handed over as per the BoQ.

7. Disputes:

7.1 In case of disputes between the client and the contractor, the matter should be reported to the client's management to settle the matter amicably.

7.2 This contract is governed by and shall be constructed in accordance with the laws of Bhutan. The parties hereto will endeavor in good faith to resolve any differences and disputes under, or in connection with, this contract by amicable settlement and which cannot be settled on an amicable basis shall be referred to the Arbitrator.

8. **Termination of contract:**

10.1 The client or the contractor may upon serving a 10-day notice terminate the contract if either party causes a functional breach of the contract. The notice will specifically describe the breach of the contract and the contractor shall stop the work immediately. Still, such termination shall not affect the obligations of the operator to take action or abstain from taking action after termination hereof, in accordance with this contract.

9. Payment

9.1 The payment shall be made within a period of 30 (Thirty) working days after the successful completion of work. Payment shall be made after deduction of 2% TDS. No advance payment shall be made.

10. Currencies:

10.1 Payment shall be made in Ngultrum 236,038.075/-(Nu.).

11. Force Majeure

11.1. If a force majeure situation arises, the supplier/bidder shall notify the company in writing of such conditions and the cause thereof along with the documentary or pictorial evidence acceptable to the company.

12. Retention Money

12.1 10% of the Retention Money shall be retained till the issuance of No Defects Liability Certificate.

13. Safety

13.1 Make sure the work area is clean, organized and blocked off from any passersby. Note any potentially dangerous area within the work site.

13.2 Wear appropriate Personal Protective Equipment (PPE)

13.3 If any injury or accident may be caused to a person the Contractor shall bear the cost.

IN WITNESS WHEREOF, the parties hereto have duly executed this Agreement as of the day and year written above.

(Pema Deki)
Regional Manager
Eastern Region
Samdrup Jongkhar

(Lotey)
Contractor
Ngawang Builders
Samdrup Jongkhar

Witness:
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